

23LBCV02241 23LBCV02241

County: los-angeles

Division: Civil Law and Motion

Department: S27

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Case Number: 23LBCV02241 Hearing Date: August 6, 2026 Dept: S27

1. Background

Facts

Plaintiff, Michael Bornn filed this action against Defendants, Community Loan Servicing, LLC and Nationstar Mortgage, LLC (erroneously sued and served as Community Loan Services Right Path Servicing) on November 22, 2023. The complaint includes a cause of action for constructive fraud and related claims. The complaint arises out of Defendants' servicing of Plaintiff's loan and attempts at foreclosure on the loan.

On June 27, 2024, the Court sustained a demurrer to Plaintiff's First Amended Complaint. On October 16, 2024, Plaintiff filed his Second Amended Complaint. The SAC includes causes of action for title fraud, promissory estoppel, negligent misrepresentation, fraudulent misrepresentation, abuse of process, breach of contract, violation of BPC §17200, California Homeowners Bills of Rights Civil Code §§2923.7 and 2924.17, Violation of §1026.41, periodic statements, and elder abuse. The Court heard Defendants' demurrer to the SAC and sustained it without leave to amend as to the title fraud, promissory estoppel, negligent misrepresentation, abuse of process, §2923.74, §2923.17, and §1026.41 causes of action without leave to amend as to Moving Defendants. Thus, the remaining claims pending against Moving Defendants are for fraudulent misrepresentation, breach of contract, UCL, and elder abuse.

On May 1, 2025, the Court heard and granted Defendant's summary judgment motion, finding it met its moving burden to show it was entitled to judgment as a matter of law, and in the absence of

opposition, Plaintiff failed to raise a triable issue of material fact. On May 9, 2025, Plaintiff filed a motion for reconsideration asking the Court to allow Plaintiff to file an opposition to the motion for summary judgment. On July 15, 2025, the Court granted Plaintiff's motion for reconsideration and allowed Plaintiff to file an opposition that complied with the Rules of Court and the Code of Civil Procedure.

On September 16, 2025, Plaintiff filed an opposition. On October 3, 2025, Defendant filed a reply and objections to the Plaintiff's separate statement. On 11/20/25, the Court granted the motion for a second time.

2. Motion for Attorneys' Fees

Request for Judicial Notice

Defendants seek judicial notice of the subject promissory note, deed of trust, loan modification agreement, and various minute orders and other documents filed in this case. The RJN is granted.

Payoff Agreement

While this litigation was pending, the parties agreed that Plaintiff could sell the property and used the proceeds to pay off all debts related to the property. The balance of the proceeds from the sale are being held by Klinedinst PC pending a ruling on how the proceeds should be distributed.

Law Governing Attorneys' Fees Awards in Breach of Contract Actions

California Civil Code §1717 establishes that in any action on a contract where the contract provides for attorney's fees, the prevailing party is entitled to reasonable attorney's fees as an element of costs. The statute defines the prevailing party as the party who recovered greater relief in the action on the contract. *Id.* See also *DisputeSuite.com, LLC v. Scoreinc.com* (2017) 2 Cal.5th 968. This determination is made upon final resolution of the contract claims, comparing the relief awarded with the parties'

demands and litigation objectives. *Sears v. Baccaglio* (1998) 60 Cal.App.4th 1136.

Subject Contract Provisions

Defendants contend the attorneys' fees provisions in the payoff agreement and deed of trust require Plaintiff to pay their attorneys' fees incurred in this proceeding.

The only cited provision in the payoff agreement states, "The parties agree that any other debt or liability, if any shall be handled pursuant to Civil Code Section 2943 et seq. The parties agree to reserve all rights to any fees and costs stemming from litigation."

This provision does not create a right to fees, but instead merely reserves the right that may already exist.

Plaintiff's relationship with

Defendants is grounded in part on a deed of trust. Defendants include a copy of the deed of trust with the request for judicial notice. ¶9

of the deed of trust clearly creates an attorneys' fees obligation in the event of a breach of the agreement.

Specifically, ¶9 includes language allowing Defendants to appear in court and pay attorneys' fees in order to protect their rights under the instrument, and any such fees "shall become the additional debt of Borrower security by this Security Instrument." The

Court therefore finds Defendants met their moving burden to show there is a contract that requires an attorneys' fees award in this action.

e. Prevailing

Party

Defendants prevailed on summary judgment, and are therefore the undisputable prevailing parties in this action.

Amount of Fees

Defendants seek to recover \$121,657.00 in attorneys' fees incurred in this action. The amount is fully supported by the Declaration of Kayleigh E. Thomas. The Court has also reviewed the history of the action, both through the moving papers and also through a review of the

court file. The Court notes that the litigation was protracted and Plaintiff's self-represented status often complicated the litigation. The Court finds the amount reasonable, and in light of the lack of opposition to the motion, the amount is granted in full.

Costs

California Code of Civil Procedure

Section 1032(b) states that, except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding. Additionally, California Rules of Court, Rule 3.1700(a)(1) specifies that a prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of written notice of entry of judgment or dismissal.

Kahn v. The Dewey Group (2015) 240 Cal.App.4th 227.

The Court will not award costs by way of noticed motion and will only do so by way of any timely and properly filed memorandum of costs.

Conclusion

The motion for attorneys' fees is granted in full. To the extent the motion seeks a costs order, the request is denied; the ruling is without prejudice to Defendants' right to file a timely and proper memorandum of costs if they have not already done so.

Defendants are ordered to give notice.